China beats dreary expectations, but more work needed to support growth

China's first batch of hard economic activity data for 2026 beat the rather downbeat forecasts. But there's still work to be done to support the domestic economy and achieve this year's growth targets - especially as inflation risks are picking up

Property prices continued to decline, albeit at a slower pace

One of the core drivers of China's soft domestic demand has been the protracted downturn in the property cycle, which has been a notable drag on household confidence and investment.

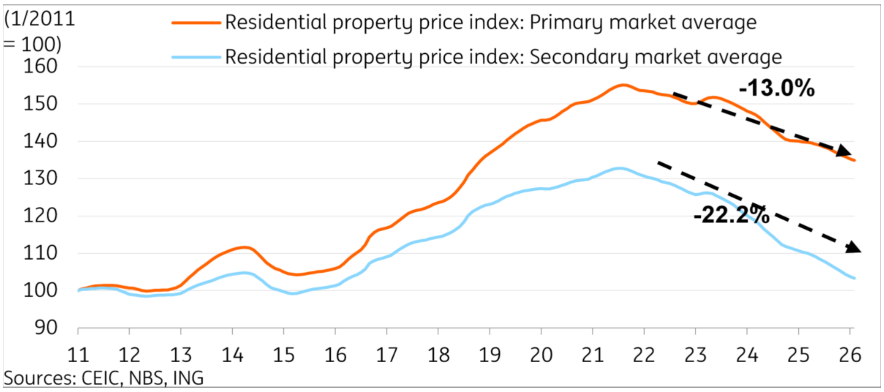
The price decline continued in February. New home prices fell by -0.28% month-on-month, while used homes fell by -0.43% MoM. Home prices have been in sequential decline for the past 33 months. They're now down 13% for new home prices and 22.2% for used home prices, representing major blows to household balance sheets.

However, relative to the past few months of rather dismal data, there were several silver linings.

Overall, the monthly decline in February was the smallest since May 2025. The city-level data looked generally stronger than it had in a few months. The new-home market showed signs of improvement, with 17 cities seeing prices stabilise or increase in February. For the used home markets, Beijing and Shanghai saw price increases on the month, while prices were flat in Shenyang and Xiamen. The 66 other cities in the sample all saw price declines in February. Nonetheless, the proportion of cities with prices unchanged or rising was the highest since May 2025.

Resolving property market risks was a goal mentioned at China's Two Sessions, but the aggressiveness of policy action remains to be seen. Success or failure will likely play a big part in how efforts to increase domestic demand unfold.

China's property market malaise continues to hold back domestic demand recovery



Sources: CEIC, NBS, ING

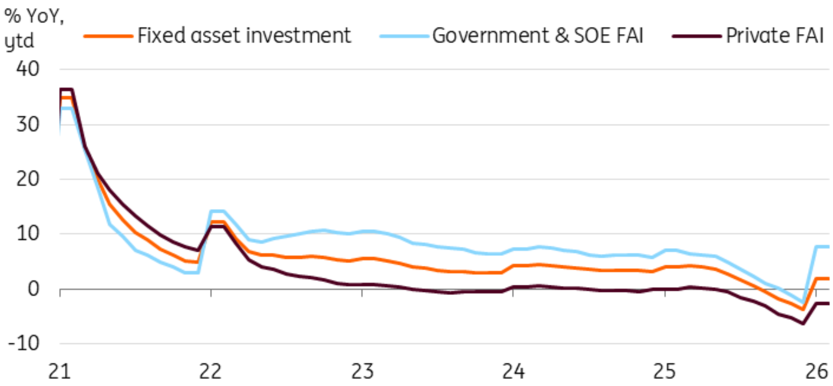
Fixed asset investment returns to tepid positive growth

Fixed asset investment rebounded to 1.8% year-on-year, year to date, for the first two months of 2026, improving incrementally from the -3.8% YoY drop in 2025. The level bucked market expectations for a steep -5.1% YoY decline to start the year; it was roughly in line with our forecast.

After registering the only full-year investment contraction since the data became available, policymakers signalled an intention to halt the contraction in investment growth. They maintained standards for investment quality and avoided redundant investment. This will be a challenging task for the year.

For the first two months of the year, we’re seeing these efforts in play, with public-led investment up 7.7% YoY ytd, while private investment was down -2.6%. The rail, ship, and aeroplane sector (31.1%) saw the strongest growth so far in 2026, significantly outpacing the other manufacturing industries. Outside of manufacturing, the agriculture (16.6%), mining (13.0%), and utilities (13.1%) sectors all performed surprisingly well.

FAI rebound was strongly led by public sector boost



Sources: CEIC, ING

Retail sales beat expectations to start the year

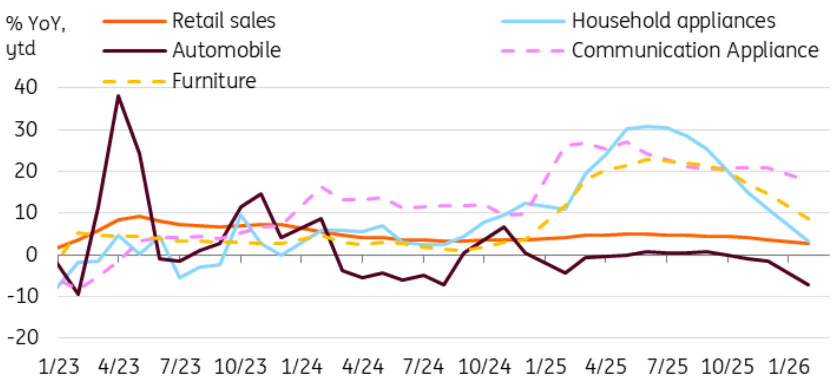
Retail sales rebounded to 2.8% YoY ytd in the first two months of 2026, up from 0.9% in December. This level beat our expectations -- and the market's -- for a smaller rebound. While the overall level remains quite weak, the underlying data are relatively encouraging.

Looking at the breakdown of retail sales, there's a very clear drag from three categories offsetting what otherwise was a strong report. These three categories are autos (-7.3%), petroleum products (-9.7%), and construction and decoration materials (-2.2%), and are tied to China's EV transition, and ongoing softness in the property market.

The other categories actually did quite well to start the year. After taking a back seat last year, China's "eat, drink, and play" theme categories handily outperformed headline growth to start 2026. Catering (4.8%), tobacco and alcohol (19.1%), and sports and recreation (4.1%) all fared well. Amid the record surge of gold, silver, gold and jewellery also saw strong retail demand at 13.0% YoY. Communication devices also started the year strong at 17.8% YoY.

With the trade-in policy's scale diminishing this year, and with last year's base effects coming into play, the growth in beneficiary categories such as communication devices, household appliances, and furniture could slow in the coming months.

Outperformance of trade-in policy beneficiaries will likely continue to narrow in coming months



Sources: CEIC, ING

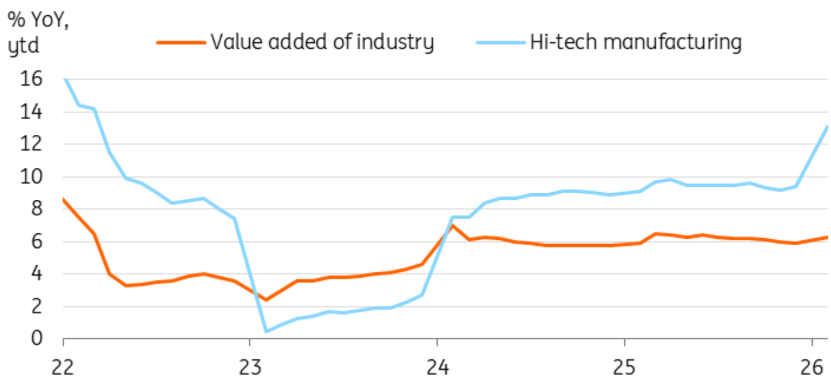
Industrial production continues to outperform amid strong external demand

China's value added of industry rose 6.3% YoY ytd in the first two months of the year, also beating market expectations.

We continue to see evidence of China's key industrial modernisation strategy in the data. Hi-tech manufacturing grew by 13.1% YoY, with a 31.1% increase in industrial robotics production to start the year. The computer & communications (14.2%) and rail, ship, and aeroplane (13.7%) categories also performed well.

At the same time, anti-involution efforts to crack down on excess capacity in the auto industry may also be starting to gain traction. The auto industry as a whole saw a 3.4% YoY ytd gain in value added, but auto production by volume was down -9.9%, with EVs in particular down -13.7%. Recall that the government published a Price Behaviour Compliance Guideline for the auto sector to crack down on automakers' pricing vehicles below cost. The industry may face waves of consolidation as clear winners and losers emerge.

Hi-tech manufacturing has consistently been outperforming headline since 2024



Sources: CEIC, ING

Decent start to the year for China as markets await data on impact of Iran war

Our first data dump of the year showed indicators beating forecasts across the board, largely due to downbeat expectations rather than a particularly robust domestic economy.

After the significant beat in trade data to start 2026, the same theme from the last two years remains in play, where a resilient external environment helps offset relatively slower domestic growth. While we have seen a lot of attention at high-level policy meetings to boosting domestic demand, today's data does beat market forecasts, but there's still much work to be done on this front.

Next month's data will no doubt be watched closely. The market will gauge how the rise in oil prices amid the Iran conflict will impact global growth and inflation. In China, even absent the impact from surging oil prices, we already saw inflation hit a 37-month high. Rising oil prices should only add to this, even though the immediate impact is highly uncertain. Short-term price spikes can be blunted by drawing on oil reserves, and with reports that Chinese oil tankers are still able to pass through the Strait of Hormuz. Nonetheless, as things stand today, the odds of CPI inflation eclipsing our current 1.0% YoY forecast this year have risen, and PPI inflation could return to positive levels for the first time since September 2022 in the coming months.

China's real GDP growth has benefited from a negative GDP deflator for the past 10 quarters. If this returns to positive levels, which positive CPI and PPI would suggest, nominal growth will need to accelerate to reach growth targets, even though the real GDP growth target was softened to 4.5-5% at the Two Sessions this year.

As such, all eyes remain on the policy rollout in China in the months ahead, and whether this will be sufficient to achieve the goals. We maintain our 4.6% YoY GDP forecast for 2026 for now.

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Disclaimer

THINK Ahead: ECB hikes, Fed cuts? Don’t bet on it

In all the turmoil, investors now expect the European Central Bank to hike rates more than once this year at a time when the Federal Reserve is cutting. Does that really make sense? It's not unprecedented, but the bar for the ECB and BoE to hike rates this year is high, writes James Smith. It's a central bank bonanza next week and here's our guide to all the action

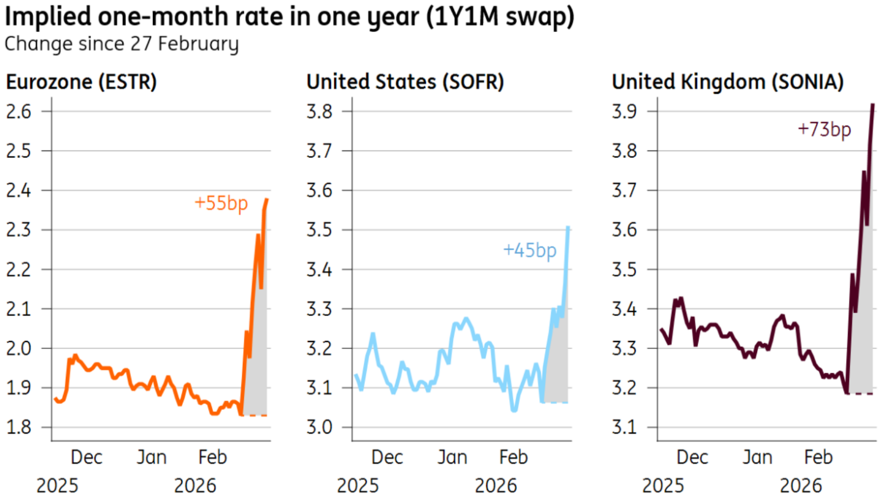
Will the ECB's Christine Lagarde and the Fed's Jay Powell move in different directions? We're not so sure

ECB hikes, Fed cuts? Don’t bet on it

Will the Federal Reserve really be cutting rates as the European Central Bank – and Bank of England for that matter – are raising them?

If it sounds unlikely, then this is exactly what markets are pricing. Things are bouncing around. But investors still roughly see one rate cut from the Fed this year while an ECB hike is priced in by July. Markets are flirting with a BoE rate hike, too. The chart below shows how the repricing since the start of the Iranian conflict has been particularly severe in Europe.

Interest rate expectations have risen further in Europe



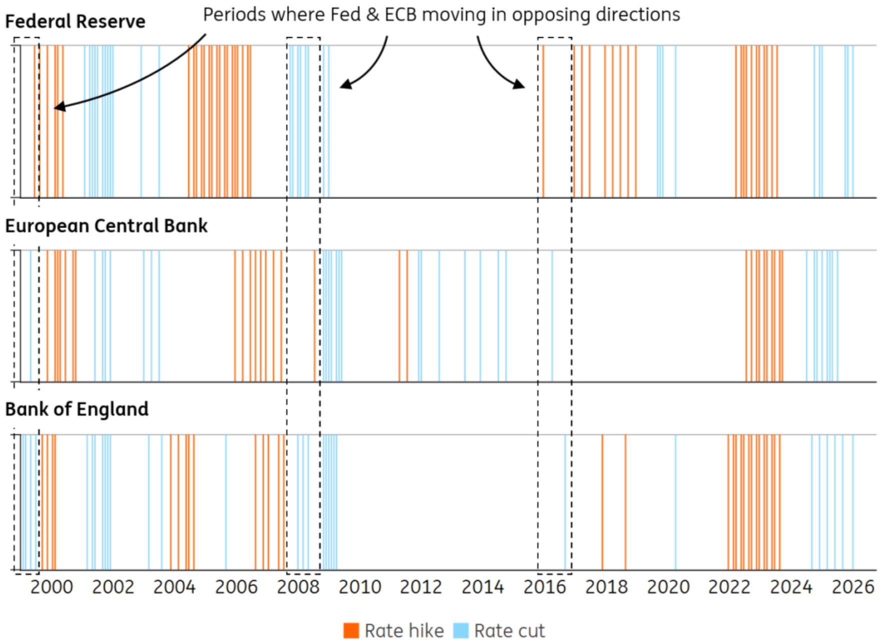
Source: Macrobond, ING

As of 12 March close

A peculiar proposition, though certainly not unprecedented. The ECB was cutting as the Fed was hiking in 1999 and again briefly in 2015/16. And let's not forget the infamous Trichet rate hike in July 2008, long after the Fed and BoE had started cutting. Of course, there have been plenty of times when one side of the Atlantic is changing policy and the other has kept things unchanged.

Still, it's unusual to have a situation where Frankfurt and Washington are pushing in opposite directions. And to be honest, we're sceptical.

It's unusual for the Fed and ECB to go opposite ways



Source: Macrobond, ING

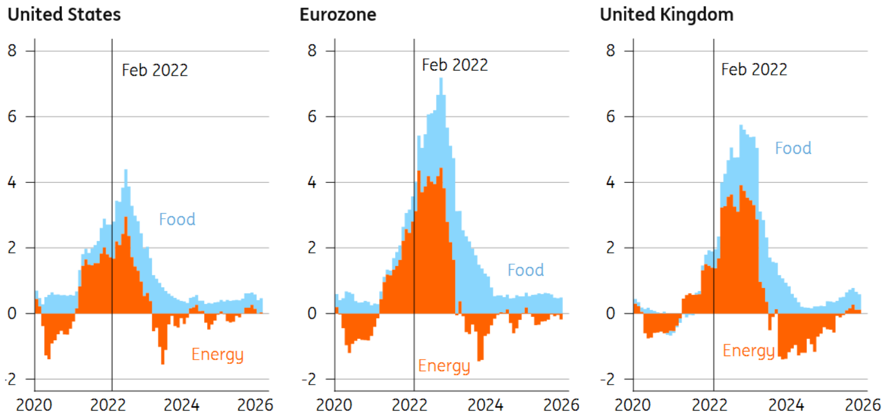
But it's worth thinking about how this situation could come to pass this year. The most obvious rationale would be the difference in objectives. The Federal Reserve explicitly has a dual mandate, one where it must balance price stability against full employment. In Europe, the focus is on the former – even if in practice the two are closely intertwined.

Then there's the fact that US interest rates are still widely considered to be above neutral, even if not by much, unlike the eurozone where 2% rates are seen as neither expansionary nor contractionary for the economy. The centre of gravity is lower for the Federal Reserve than it is for the ECB; it can, in theory, cut rates and still retain some restriction.

What's really happening here, though, is that investors seem to be applying the 2022 playbook to the current crisis. Back then, inflation on both sides of the Atlantic surged. But the drivers were very different. Where energy-independent America saw inflation spike on the legacy of domestic Covid-era stimulus and acute hiring challenges, in Europe energy prices played a much larger role.

Check out the contribution to headline inflation over that period from energy (petrol/gasoline and household electricity/heating costs) and food (which is heavily affected by the cost of energy).

Contributions to headline CPI (YoY%)



Source: Macrobond, ING

But this is not 2022.

I wrote last week about how things have changed an awful lot in the global economy since then, leaving it less vulnerable to a re-run of the protracted inflation spike we saw at that time. This is true on both sides of the Atlantic. If anything, the fact that the US is running hot on AI spending – something Europe is clearly not – could make it a touch more exposed to inflationary pressures emanating from the domestic economy.

And Europe's relationship with energy has changed dramatically, too.

I urge you to read my colleague Warren's full article on this. But in short: Europe now consumes a lot less gas, uses plenty more renewables and is no longer exposed to the loss of a single dominant supplier in the way it was when Russian supplies were disrupted in 2022. Nor is Europe going to buy up gas as frantically as it did that year, either.

In short: we don't think the Fed is going to be cutting rates at the same time the ECB or BoE are hiking. Not unless this energy shock gets really bad – by which I mean natural gas prices would probably have to shoot much higher than they have done. Then there is a conceivable scenario where European central banks feel compelled to hike rates to burnish their inflation-fighting credentials, even if all this achieves is amplifying the growth hit already coming down the track.

That's not the scenario we find ourselves in just yet. So which is wrong: the Fed cut or the ECB/BoE hike thesis? We'd argue it's the latter.

Admittedly, there's no historical precedent for the ECB cutting into an energy price shock. Carsten runs through the history of Frankfurt's thinking on supply shocks in his preview of next week's meeting. But it also feels like the bar for a hike is high in the current macro environment. I think the same is true here in Britain. As I say in my preview, the reaction of the hospitality sector to big government policy changes in 2025 – where firms cut workers but didn't really raise prices – may well be mirrored in the fallout of the Iran conflict.

As for next week though, the central banks are likely going to keep all their options open. Like the rest of us, they have no idea when this disruption ends. The ECB can hide behind the fact its new forecasts, released with the decision, will be heavily outdated on arrival. And though the Fed might push back its one forecasted rate cut into 2027, it can also point to uncertainty – both globally, but also domestically, after that shocker jobs report last week.

Central banks don't always agree. And they don't always do the same thing. But to go in opposite directions is a rare step. And not one that feels likely right now.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Rate Decision** (Wed): After cutting rates 75bp over the final three policy meetings of 2025, the January FOMC meeting saw the Federal Reserve adopt a slightly more hawkish stance by removing the comment "downside risks to employment rose in recent months." The February jobs report suggested this may have been a little premature with payrolls falling 92,000 with 69,000 of downward revisions to December and January and the unemployment rate rising to 4.4%. Nonetheless, the Fed is widely expected to leave monetary policy unchanged for a second meeting given the decent growth backdrop and the prospect that inflation moves back above 3% on energy price developments. We will get new forecasts from officials as well. The December update had one rate cut pencilled in for 2026. There is a clear risk it gets pushed back to 2027.

Eurozone (Carsten Brzeski)

- **Rate Decision** (Thur): The ECB is set to keep policy unchanged next week, but the recent surge in oil prices and the escalating conflict in the Middle East mean any discussion of rate cuts is off the table. The shock has revived painful memories of 2022, when the ECB underestimated the persistence of energy driven inflation. While today's backdrop is less alarming, the Governing Council will want to avoid repeating past mistakes. Expect a firmer, more hawkish tone, with strong emphasis on vigilance and a willingness to act if second round pressures re emerge. Lagarde's "good place" remains intact for now, but the panic room is open.

United Kingdom (James Smith)

- **Rate Decision** (Thur): Higher energy prices have rendered a March rate cut highly unlikely. And the Bank is likely to keep its options open next week, awaiting clarity on how long the crisis is likely to last. The key question is the vote split; we expect 7-2 in favour of no change, but a greater number of officials voting for a cut would be a dovish surprise.

Canada (James Knightley)

- **Rate Decision** (Wed): The Bank of Canada will leave the policy rate unchanged this week given the inflationary impulse from higher energy costs. In any case, the press release accompanying the January decision suggested they felt the policy stance was appropriate, with excess supply in the economy offsetting any inflationary threat from US-Canada trade tensions.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Jan current account** (Mon): We forecast a slight improvement in current account deficit (12-month rolling) to 0.6% of GDP vs. 0.7% of GDP at the end of 2025 as the secondary income deficit and trade deficits narrowed. We estimate that exports, in euros, fell by 3.4% year-on-year and imports by 4.8% YoY. The external imbalance remains low.
- **Feb industry** (Thu): Following a decline in January, we project a bounce back in industrial output in February in annual terms as the negative calendar effect abates (same number of working days as last year) and weather conditions probably had a less severe impact on activity, especially towards the end of the month. Producers' prices continued to decline. We forecast a 2.4% YoY drop in PPI, but the current energy crisis may lift the index in the months ahead.
- **Feb construction** (Thu): The beginning of 2026 was difficult for construction and, given still-low temperatures and snow in many parts of the country, we expect construction activity to have fallen in annual terms, but not at a double-digit pace as was the case in January. The contribution from value added in construction to 1Q26 would be negative as businesses are unlikely to catch up after the poor first two months of the year.
- **Feb labour** (Thu): After upward surprises in late 2025, wage growth resumed its downward trend in January. We project the February reading at a similar pace, slightly above 6% YoY. The minimum wage went up by only 3% YoY from January 2026 and wage growth in the public sector was also low. The National Bank of Poland surveys indicate that businesses are more reluctant to hike wages. At the same time, we assess that the employment decline deepened to 0.9% YoY after falling by 0.8% YoY a month earlier.

Czech Republic (David Havrlant)

- **Rate Decision** (Thur): Industrial producer prices likely maintained their annual decline, while we may already see some impact of the increasing Brent crude price in February. The current account likely improved at the start of the year, as global demand was still in decent shape. The Czech National Bank will have to consider the recent turmoil in the Middle East and the elevated crude and natural gas prices. Given that the Czech economy finds itself in a relatively favourable position, the CNB can afford to wait and see for quite some time. The right answer to an external negative supply shock is stability in interest rates for some time.

Armenia (Dmitry Dolgin)

- **Rate Decision** (Tue): We expect the policy rate to remain unchanged at 6.50%. CPI rose by 0.5ppt to 4.3% YoY in February, moving further away from the long-term target of 3%. Recent activity indicators suggest momentum remains strong, fiscal policy is still supportive (3.7% of GDP deficit in 2025), and bank lending growth continues to outpace funding.
- The outbreak of war in the Middle East adds new risks for Armenia, including imported inflation from energy and food (around 30% of imports, net of one off effects) and the possibility of capital outflows due to weaker regional risk appetite. These factors argue for maintaining a cautious monetary policy stance.

Uzbekistan (Dmitry Dolgin)

- **Rate Decision** (Wed): We expect the policy rate to remain unchanged at 14.00%, despite the dovish commentary at the previous meeting. Since the end of January, domestic inflation has increased by 0.3ppt to 7.5% YoY. Key activity indicators point to acceleration, and money supply growth, one of the CPI precursors, has reached a multi year high of 40%.
- Uzbekistan remains largely insulated from the adverse consequences of the Middle East conflict thanks to strong gold exports and a resilient soum. However, risks from potential portfolio outflows and moderate imported inflation (food and energy account for around 20% of imports) should still be considered.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 16 March		
US	1315	Feb Industrial Production (MoM%)	0.0	0.7
Canada	1230	Feb CPI (MoM%/YoY%)	0.5/1.7	0/2.3
	1230	Feb Core CPI (MoM%/YoY%)	-/-	0.2/2.6
Netherlands	0530	Jan Trade Balance	-	9.7
		Wednesday 18 March		
US	1215	ADP weekly employment change (000s)	10	15.5
	1230	Feb PPI (MoM%)	0.3	0.5
	1400	Jan Factory Orders (MoM%)	-0.5	-0.7
	1800	Fed Funds Target Rate (Upper Bound)	3.75	3.75
Eurozone	1000	Feb CPI Final (YoY%)	-	2.4
Canada	1345	BoC Rate Decision	2.25	2.25
		Thursday 19 March		
US	1230	Initial Jobless Claims (000s)	215	213
	1400	Jan New Home Sales (mn)	0.8	0.75
Eurozone	1315	Mar ECB Refinancing Rate	2.15	2.15
	1315	Mar ECB Deposit Rate	2.00	2.00
UK	0700	Jan Unemployment Rate	5.3	5.2
	0700	Jan Employment Change (000s)	-25	52
	0700	Jan Average Weekly Earnings (3M YoY%)	3.9	4.2
	0700	Jan Average Weekly Earnings ex Bonus (3M YoY%)	4.0	4.2
	1200	BoE Rate Decision	3.75	3.75
Sweden	0830	Riksbank Rate	1.75	1.75
Switzerland	0830	SNB Policy Rate	-	0.00
		Friday 20 March		
Eurozone	0900	Jan Current Account SA (EUR bn)	-	14.6
	1000	Jan Total Trade Balance SA (EUR bn)	-	11.6
Italy	0900	Jan Global Trade Balance (EUR bn)	-	6.0
Canada	1230	Jan Retail Sales (MoM%)	0.3	-0.4

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 16 March		
Turkey	0800	Feb Budget Balance (TRY bn)	-	-214.5
Poland	1300	Jan Current Account (EUR bn)	0.3	-1.7
	1300	Jan Core Inflation (YoY%)	2.6	2.7
	1300	Feb Core Inflation (YoY%)	2.5	2.6
Czech Rep	0800	Feb PPI (MoM%/YoY%)	0.1/-2.8	-0.7/-3.0
	0900	Jan Current Account Balance (CZK bn)	38.4	8.5
Kazakhstan	-	Feb Industrial Production (MoM%)	-	-6.6
		Tuesday 17 March		
Croatia	1000	Feb CPI Final (YoY%)	3.4	3.4
Armenia	0800	Policy rate decision	6.50	6.50
		Wednesday 18 March		
Russia	1600	Feb PPI (MoM%/YoY%)	-/-	-2.5/-5
Poland	0900	Mar Consumer Confidence	-	-9.1
Uzbekistan	0800	Rate Decision	14.00	14.00
		Thursday 19 March		
Poland	0900	Feb Employment Growth (YoY%)	-0.9	-0.8
	0900	Feb Industrial Output (YoY%)	1.3	-1.5
	0900	Feb PPI (YoY%)	-2.4	-2.6
	0900	Feb Wages (YoY%)	6.4	6.1
Czech Rep	1330	CNB Rate Decision	3.50	3.50
Ukraine	1100	NBU Rate Decision	-	15.00
		Friday 20 March		
Russia	1030	Rate Decision	15.00	15.50

Source: Refinitiv, ING

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Fed to delay rate cuts as war clouds the outlook

The Middle East conflict will push up prices, but it will also likely harm US growth and job prospects. We see this as a Fed rate-cut delayed rather than removed story, unlike 2022 when a demand shock, combined with a supply shock, fuelled inflation and led to rate hikes

We expect the Federal Reserve to remain on hold on 18 March. We see rate cuts as being delayed

Rising inflation constrains the Fed

The outlook for Federal Reserve policy changes has been upended by events in the Middle East. Financial markets have swung from anticipating two 25bp rate cuts this year to now pricing in barely one. Markets are solidly backing a no-change outcome on Wednesday, 18 March and we agree.

The military action in Iran and the resulting reluctance of shipping to navigate the Strait of Hormuz has led energy prices to spike higher. While the US itself gets very little crude oil from the Persian Gulf and is self-sufficient in natural gas, prices for oil are set globally. We are already seeing US retail gasoline prices up above $3.60 per gallon with the real prospect of the national average pushing imminently towards $4.25/gallon. This will put up supply and distribution costs, with airline fares also likely to push higher. The longer that the disruption lasts, the greater the chance it lifts prices in other sectors, including fertiliser, food prices and the cost of plastics. In consequence, we are now looking at inflation moving towards 3.5% by the summer, well above the 2% target.

The impact on growth and jobs is less clear-cut at this stage. The ISM business surveys for February were at levels historically consistent with 3% GDP growth, but the news on jobs is not as rosy. The

February jobs report showed the economy shed 92,000 jobs with the unemployment rate rising to 4.4%, suggesting the Fed's decision to remove the assessment that "downside risks to employment rose in recent months" from the January FOMC statement, was premature. A ramping up of geopolitical and economic uncertainty is not going to help bring better news on jobs and will do little to boost activity outside the US' energy sector.

Fed to signal a delay to rate cuts

Given this situation, we will be closely watching the Fed's new forecasts. In December, the Fed were pencilling in one rate cut in 2026 with one further 25bp cut in 2027. There is huge uncertainty over how long and how intense the conflict and the disruption will be, so the Fed will have little conviction in their forecasts. Fed Chair Powell will be certain to underline the challenges in setting policy in this situation at the press conference. Nonetheless, we suspect they will trim growth marginally, push up their inflation forecast and then delay the 2026 rate cut until 2027.

ING's expectations for updated Federal Reserve forecasts

	2025	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	**2.0**	**2.2**	**1.9**	**1.9**	**1.8**
Previous Fed projection (Dec)	1.7	2.3	2.0	1.9	1.8
Unemployment rate (% year end)	**4.5**	**4.4**	**4.2**	**4.2**	**4.2**
Previous Fed projection (Dec)	4.5	4.4	4.2	4.2	4.2
Core PCE inflation (4Q YoY%)	**2.9**	**2.7**	**2.2**	**2.0**	**-**
Previous Fed projection (Dec)	3.0	2.5	2.1	2.0	-
Federal funds rate (year end)	**3.6**	**3.6**	**3.1**	**3.1**	**3.0**
Previous Fed projection (Dec)	3.6	3.4	3.1	3.1	3.0

Source: Macrobond, ING

Risks still skewed towards lower rates

We have been forecasting two rate cuts for September and December, but as the market has already done, we acknowledge the risk is that they are delayed into next year. While the Fed has a dual mandate of price stability and maximising employment, a central bank needs to defend its inflation credibility, and it is difficult to justify rate cuts when inflation is above target and rising further away from it.

The Fed's position in early 2022 was that inflation is transitory during a supply shock, and they needn't raise rates. However, robust hiring, soaring wage growth, pent-up demand coming out of lockdowns and stimulus checks meant consumer spending jumped significantly and inflation spiralled higher. The Fed then had to play catch-up, hiking rates 525bp between March 2022 and July 2023.

Today, the labour market is in a far weaker position with job creation and real household disposable income stalling over the past six months. At the same time, confidence has been eroded by tariff worries and job security fears, so there isn't the same demand impetus to fuel inflation. This should mean inflation is indeed "transitory" this time around.

Instead, we suspect that today's energy shock risks being demand destructive, which ultimately leads to lower core inflation. If there was an equity market correction, then the demand destruction would be all the greater. Consequently, we continue to have a bias to lower Fed funds rates over the next 12-18 months.

While tax refunds are expected to be quite substantial this year (around $4000 on average versus $3200 last year) we would likely need to see a larger fiscal boost, such as stimulus checks, to generate enough demand that would entrench inflation pressures and trigger Federal Reserve rate hikes. Bond markets would undoubtedly take fright, in part due to concern over higher debt levels and in part due to inflation worries and this would ignite talk of highly damaging 1970s-style market dynamics. Hence, we see this as a low probability event.

Will the Fed comment on the stickiness in the effective funds rate? Really they should

Since the Fed re-commenced T-bill buying in mid-December 2025, they have bought a cumulative US$165bn. Overall, the Fed's holdings of all securities (including bills) are up US$130bn, to US$6.26tn. That has coincided with a rise in bank reserves, by US$180bn, to just over US$3tn (helped by a moderate spend down in the Treasury cash balance). Given the net US$130bn of balance sheet expansion, the Fed should be disappointed that the effective funds rate has not eased lower, even if only by a few basis points.

Remember, the effective funds rate used to trade just 8bp above the funds rate floor, and the ratchet higher to 14bp through September/October 2025 prompted the policy of renewed T-bills buying in the first place. The back-story saw bank reserves dip below US$3tn, and repo had shown a marked tendency to tighten, with bank reserves at sub-US$3tn. That repo tightness, in a relative value sense, was the genesis of the rise in the effective funds rate. Rate cuts have dominated, of course, but the issue is the rise in the effective funds rate within the (25bp) funds rate range.

The effective funds rate has refused to budge from the 3.64% level. And by the way, that's just 1bp below the rate paid on reserves (3.65%). It's actually tough to get to 3.65%, as then eligible counterparties have a choice between two windows (reserves vs funds rate). It should not go above, though. Whether the Fed comments on this or not is an open question. It does deserve a question from the reporters though. They tend not to go there, but really they should. Efficient market functioning is an important base to have in times like these.

In terms of wider rates, and in particular, direction for bonds – the Fed is getting a feed of higher nominal yields, higher real yields and higher inflation breakevens. That combination is hardly one that is conducive to rate cuts. In fact, every leg of it argues that a hold makes the most sense. And, for now at least, we will likely see more of the same. A 10yr yield in the 4.3% to 4.5% range is entirely possible before real yields finally cave and commence a journey back down.

Fed caution should keep the dollar supported

As around the whole world, the Middle East energy shock has prompted a hawkish re-pricing of short-end US interest rates as doors seem to close on easing cycles. While the adjustment in US rates has been less than in many other parts of the world, that has had little effect on the dollar. The macro shock of higher energy prices is by far the largest driver of currency trends now, while rate differentials have temporarily fallen away in importance.

That probably means that a mildly hawkish FOMC meeting on Wednesday, where the Fed pushes the median 25bp cut back to 2027 from 2026, will not have an outsized reaction on the dollar. However, a Fed leaning into the risk of higher energy prices, even as the US jobs market seems to be holding up, will be mildly dollar supportive. Certainly, the re-pricing of the Fed cycle has compounded the energy shock faced by Europe, Asia and most emerging markets. This has upended the narrative of a benign decline in the dollar this year.

As long as energy prices stay high or go higher, it is hard to see the dollar handing back this month's gains. The only big supply of dollars we could see in this environment could come from the official sector, where Japan looks likely to intervene in USD/JPY above 160. Joint US-Japanese FX intervention to sell USD/JPY would be a surprise and trigger a broader dollar correction. But unless energy prices reverse, FX intervention would just be an exercise in containment.

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Pharma’s Godfather moment: pulled back into tariff uncertainty

The US Supreme Court invalidated President Trump’s use of emergency authority to impose tariffs. Yet, we believe that Most Favored Nation (MFN) deals with pharmaceutical companies will hold, although additional US investments could be postponed until after the current transition period

Michael Corleone, whose iconic line echoes pharma’s return to uncertainty after the latest tariff twist

'Just when I thought I was out...'

Just as 16 branded pharma companies struck investment deals with the Administration – trading MFN pricing for a temporary reprieve on tariffs – the US Supreme Court ruling marked the start of a messy transition period. In response, the Administration invoked Section 122 of the 1974 Trade Act, which permits tariffs of up to 15% for as long as 150 days, with the possibility of extensions.

Crucially, pharmaceuticals fall under enumerated exceptions, meaning the tariff does not apply to them. Yet the renewed uncertainty feels familiar. As Michael Corleone puts it in *The Godfather Part III*: “Just when I thought I was out, they pull me back in.”

We expect MFN deals to hold

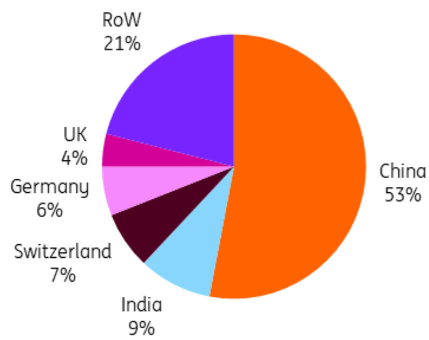
In spite of the messy transition period, we expect MFN deals to hold. This means that more investment in US manufacturing will happen, but it may be delayed until there is legal certainty surrounding tariffs. Furthermore, the US government is unlikely to renege on its commitments to the branded pharma space, because TrumpRx and MFN have been touted by the Administration.

In addition, the sector is increasingly seen as integral to national security, which means there is a significant incentive to keep manufacturing and innovation close to home.

Tariff on generics will remain zero

For the generic sector, where the supply chain mostly sits in Asia, we expect the tariff rate to remain zero. It would be political suicide to levy tariffs on generic pharmaceuticals because the supply chain will not relocate as a result of the tariff threat, which would mean higher drug prices. And since 91% of all US prescription drugs are generics, these effects would be felt quickly. Moreover, this Administration has committed itself to lower drug prices.

The US imports more than half of its pharmaceuticals from China

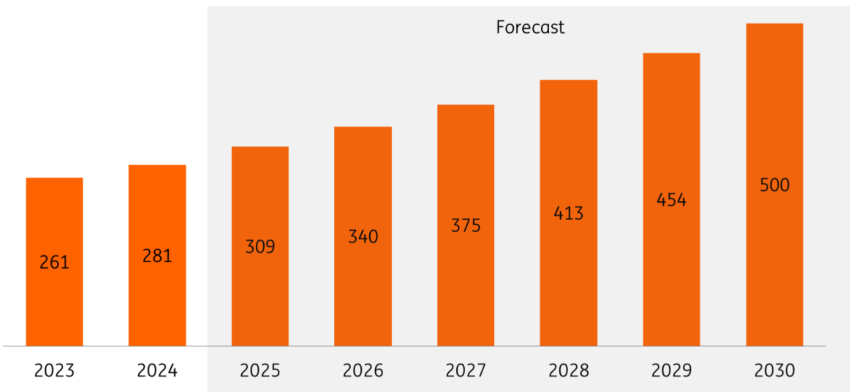


Source: United Nations Commodity Trade Statistics Database; BMI; ING

CDMOs are beneficiaries

As we have written about before, the net beneficiaries of these uncertain times are CDMOs who offer a way out of uncertainty. As companies can use CDMO capacity to localise their manufacturing, this is why we expect high single-digit CDMO growth until 2030.

Global CDMO market to experience strong growth until 2030



Source: ING forecast based USD and Grandview Research

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Rethinking transatlantic power: Why trade dependencies cut both ways

The transatlantic debate often frames Europe as overly dependent on the United States, often ignoring the fact that Europe also holds some important cards. However, before getting overly enthusiastic about a stronger European stance in possible new trade negotiations, Europe should address some construction flaws in its own trade bazooka

The EU's Ursula von der Leyen with President Trump in Scotland last year

Beyond American dominance

When it comes to trade relations and negotiations, the US is often portrayed as the superpower, using tariffs as threats to extract favourable outcomes. You could easily see this pattern during the first round of EU-US trade negotiations, which resulted more or less in *damage control* for Europe rather than a mutually beneficial agreement.

Following the Supreme Court ruling restricting President Trump's use of the International Emergency Economic Powers Act (IEEPA) as well as new tariff threats during the Greenland conflict, uncertainty about new US trade actions resurfaced. Contrary to the negotiations last summer, the EU has taken a tougher stance, freezing ratification of the current deal and contemplating retaliatory trade actions.

Is this new stance simply a 'whistling in the dark' phenomenon, or has the EU fundamental reasons to take a more aggressive stance vis-à-vis America?

Trade volume is not everything

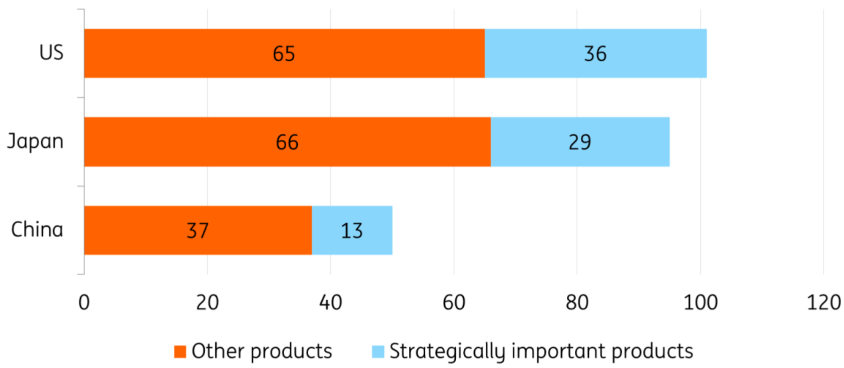
The fact is that the US and EU remain deeply intertwined through trade. In 2025, the European Union was the largest foreign supplier to the United States, accounting for USD 633 billion in exports and 19% of total US imports, according to the US Census Bureau. In the other direction, the United States supplied around 14% of all extra EU imports, underscoring the depth of the transatlantic trade relationship.

However, economic leverage in trade does not so much stem from how much a country exports, but rather from how easily those exports can be replaced. Highly complex, scarce or strategically sensitive goods, such as critical raw goods, complex machinery or patent-protected pharmaceuticals, typically have a low short-term substitutability, so buyers cannot easily switch to alternative suppliers. This limited substitutability increases the economic cost of trade disruptions, thus raising the exporter's bargaining power.

The notion of substitutability has several distinct dimensions, which we define and categorise in line with the approach developed by CEPII. Simply speaking, a country's trade vulnerability depends on how many suppliers it relies on, whether it could switch to others globally or produce the good itself, and how long-lasting and strategically critical that dependence is. The fewer the alternatives and the more essential the sector – think chemicals, pharmaceuticals, steel, defence, transport or electronics – the greater the risk if supply chains break down.

Europe's hidden leverage: Where global economies rely on the EU

Number of product lines where countries depend on EU suppliers (2024)



Key notes

Strategic important products are defined as the chemical, pharmaceutical, steel, defence, transport, and electronic products, where supply disruptions can have outsized economic and security implications.

Based on the CEPII methodology, we identify 468 EU and 462 US import dependencies out of 4400 product lines, of which respectively 129 and 119 are deemed strategically important. The EU's exposure is heavily skewed towards China, which accounts for 63 strategic product dependencies (50% of all strategic dependencies), while US-based dependencies amount to only 17 products, or about 14% of the EU total.

By contrast, US dependencies are mainly split between China (48 products or 40%) and the EU (36 products or 30%). Based on this analysis, the US depends more on the EU (36 products) than the EU does on the US (17 products).

Within this landscape, country level heterogeneity is pronounced, with the three largest EU economies accounting for the majority of identified dependencies (22 out of 36). Germany stands at the centre, accounting for 13 of the 36 EU linked import dependency product lines. These dependencies are concentrated in areas that closely align with Germany's industrial strengths: chemicals and pharmaceuticals.

Renewed tensions and tariff threats spark retaliatory discussion

New tensions resurfaced after President Trump threatened to "cut off all trade with Spain" following Madrid's refusal to grant access to its military bases. At the same time, tariff uncertainty is rising again, with Section 122 rather than IEPPA in play for broad based tariffs under a strict 150 day timeline, while Section 301 investigations were initiated just this week. EU lawmakers will reconvene on March 17 to decide whether to unfreeze the ratification process of the current US-EU trade agreement.

EU leaders also discussed the potential activation of the Anti Coercion Instrument (ACI), the EU's so far unused "trade bazooka." The ACI would allow Brussels to impose retaliatory measures, potentially including export controls, which could cause substantial economic damage.

Politically, however, the ACI is contentious: France is the loudest advocate of activating it, while Germany would be hit the hardest by any export-related retaliation due to its industrial structure and trade exposure. Or in other words, Europe would probably hit the US economy more by limiting its exports of advanced chemicals or pharmaceuticals rather than of wine and cheese. This asymmetry immediately raises questions about intra-EU compensation for companies affected by any export restrictions under the ACI. A topic that has not been discussed in public so far and which would be a clear test case for European solidarity if the ACI was ever activated.

A more assertive Europe?

The EU recently also strengthened its global trade footprint with the preliminary enforcement of the Mercosur trade agreement and the EU-India agreement. While both deals hold meaningful long-term potential and signalling power that Europe does not stand still, they are still far from matching the scale or economic weight of the US market.

In any upcoming discussions between the US and the EU, both sides should carefully consider how their economies are intertwined and how quickly this can turn into a point of friction, harming both sides. Any renewed trade tensions could easily spill over into other policy areas.

A closer look at the trade dependencies between both blocs shows that Washington has more to lose than is often assumed. At the same time, however, Europe should ensure that its tools are actually functional to avoid a trade bazooka suddenly turning into a water gun due to internal political constraints.

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Why the bar is high for the Bank of England to hike rates

We expect the Bank of England to keep rates on hold at its 19 March meeting. Financial markets are increasingly pricing a rate hike this year. But the economy looks very different to when the 2022 energy shock arrived. We think rate cuts are still more likely than hikes, though we could be in for a long pause should energy disruption linger

The Governor of the Bank of England, Andrew Bailey, speaking last month

The Bank of England will be sensitive to the energy price spike

Out of all the central banks, it's tempting to say that the Bank of England is going to be among the most sensitive to the rise in energy prices. That's certainly the way markets see it.

The repricing to short-term interest rate expectations has been more dramatic for the UK than the eurozone or especially the US. Investors have swung from pricing 50bp of easing in 2026 on the eve of the Iran conflict, to 20bp of rate hikes now. The memories of the 2022 inflation spike are evidently still fresh.

As things stand, if the current price levels endure, we think we'd see inflation spike to around 3.5% by late summer. And that's before we consider the knock-on effects beyond petrol/diesel and household energy bills.

Yet we think the bar for the Bank to actually hike rates is high. The economic backdrop is very different to 2022. The jobs market is considerably weaker. Vacancy rates are well below pre-Covid levels, and the drop has been more acute than in other developed economies. Wage growth is falling, not rising as it was four years ago.

Back in 2022, the UK economy was also still riding the tailwind of Covid-era fiscal stimulus. It was aided by significant government support, chiefly the £2500 household energy cap, which, together with other measures, amounted to 2% of GDP in FY2022.

This time, fiscal policy is a headwind; the deficit is falling this year, driven by the freeze in tax brackets. Meanwhile, the government's ability to respond as it did in 2022 is heavily diminished. 10-year bond yields are more than 3 percentage points higher than they were at the time of the Ukraine invasion. And the same is true more or less everywhere; the UK economy isn't going to ride on the coattails of fiscal stimulus elsewhere, as it was able to four years ago.

2025 is a better playbook than 2022

The problem in 2022 was that the spike in energy prices morphed into a surprisingly long-lasting and sticky bout of service-sector inflation. All of the above suggests the reaction this time will be more muted. And we think the way the economy reacted to last April's tax and minimum wage hikes is a case in point.

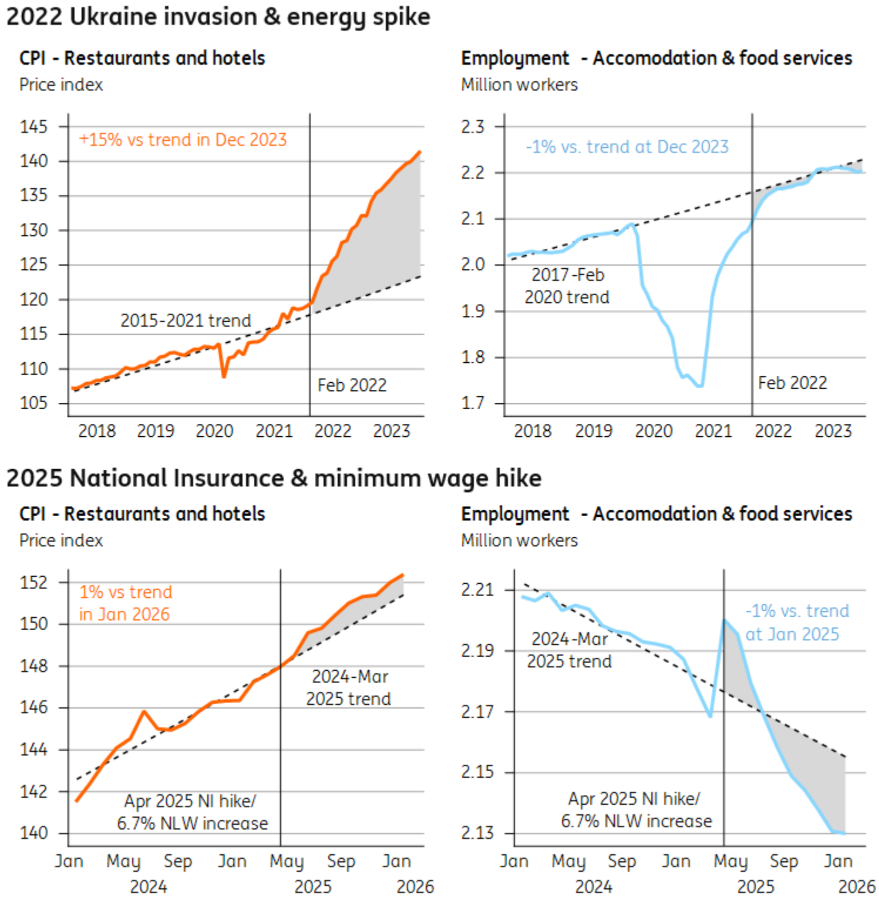
Take hospitality, a sector that bore the brunt of both the energy price spike in 2022 and last year's policy changes.

Four years ago, the sector dealt with higher energy bills by hiking prices, rising 15% above trend by late 2023, with minimal impact on employment. Sure, this also coincided with the post-Covid recovery and the staff shortages that came with it. But the sector found itself with some pricing power to pass on the cost hit without impacting jobs.

Last year, the story was very different. Faced with higher payroll taxes and a sharp rise in the National Living Wage, the sector shed jobs at a faster pace. Employment is 1% below the pre-April 2025 trend (a trend that was already pointing downwards). This was a sector that had found itself overstaffed post-Covid (evident in falling productivity), and those policy changes proved to be the catalyst for a reset. Arguably, this process has further to run, and the energy price shock will only amplify that.

Prices, by contrast, have shown very limited reaction. And remember, this all coincided with a period of higher food inflation, an issue for these catering businesses.

2022 vs. 2025: How the hospitality sector responded



Source: Macrobond, ING

Price data seasonally-adjusted by ING

That is just one sector, but an important one: it's often cited as a barometer for underlying economic performance and inflationary pressure. And it's an important reminder that the risk of second-round wage and inflation from shocks like higher energy prices is much diminished compared to 2022. Most BoE officials were increasingly reaching this conclusion too at the December and February meetings.

So where does that leave the March meeting? A rate cut is clearly off the table, where it had been looking highly likely before the Iran invasion. At a minimum, Governor Andrew Bailey, who would have likely had the deciding vote, will be minded to vote for a pause.

At this stage, it's too early to say anything sensible about the precise macro implications without knowing how long the conflict and closure of the Strait of Hormuz will last. And with no press conference or forecasts this month, we suspect the Bank will use the policy statement simply to play for time, with forward guidance that says any further rate cuts will depend on the evolution of energy prices and the impact on expectations.

The main question is how many officials do still vote for a cut. We suspect Swati Dhingra and Alan Taylor, both determined doves, will keep doing so. Our base case is for a 7-2 vote in favour of no change. If more officials vote for a cut, then that should help temper the rate hike pricing within markets.

Ultimately, we still think the next move in rates is more likely down than up. If by the time of the April meeting, energy prices have fallen back – say to 70-75 USD/bbl on oil and 35 EUR/MWh on gas – then we think there's a chance the Bank could still cut rates at that point. Such a scenario would point to headline inflation staying below 3%, which officials would be minded to "look through".

In a scenario where the disruption lasts longer, risking inflation closer to 4%, then the Bank will likely be more cautious. We suspect it would wait and see how firms react in surveys through the summer, on questions like wage growth expectations. That would point to a prolonged pause, but we think we could still see further easing later in the Autumn/into winter.

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Watch: Your oil questions answered

ING's Commodity Strategist, Warren Patterson, on the global oil crisis, the options for world leaders and the markets, and what's going to happen to crude prices as the conflict with Iran continues.

Warren has also written about world gas prices; click here for that

Your oil questions answered

The price of oil continues to fluctuate, with Brent crude sometimes passing $100 a barrel. That's despite the International Energy Agency announcing it would release a record amount of supplies. So what options are there, and what will it take for oil to return to the levels we saw before the conflict with Iran began? ING's Warren Patterson explains the Strait of Hormuz dilemma and what he expects to happen next.

Watch video

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Eurozone households are first to feel the pain of the current oil price shock

Fuel prices are surging again, and for many households, filling up now hurts almost as much as during the 2022 energy crisis

In some eurozone countries, the cost of a 50-litre tank of petrol has risen to levels last seen in 2022 when Russia invaded Ukraine

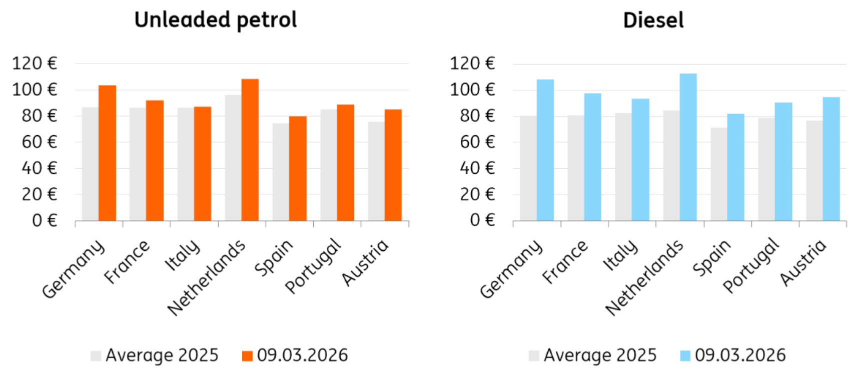
It's a fast-moving environment, which currently only allows to think in terms of scenarios rather than conviction calls. And while forecasters around the globe are currently grappling to adjust their macro forecasts – uncertain about how long the war in the Middle East and the disruption to the Strait of Hormuz will last – one part of the economy is already feeling the economic pain: households. More precisely, car-driving households. Any surge in oil prices is felt most immediately in one place – the petrol station.

Pain at the pump for European consumers

Our colleague Warren Patterson has written extensively on recent oil price developments and the possible scenarios ahead. We also know that it takes a while for the full macro impact of higher energy prices to unfold. Industrial companies typically hedge (at least some of) their energy purchases in forward markets, while households' utility contracts usually run for one or two years. This was, for example, one of the reasons why during the 2022 energy crisis, it was energy companies that ran into financial trouble first, as they were unable to pass on higher procurement costs to end consumers. One place where consumers are not shielded by hedging strategies or longer term contracts, however, is at the petrol station.

Even before oil prices reached this week's painful highs, the jump in retail fuel prices had already pushed the cost of a standard 50 litre tank of petrol to levels last seen in 2022 in several major eurozone economies. Compared with the week before the joint US Israeli strike on Iran, the price of a tank of unleaded petrol has risen by between €4.50 in Italy and €13.00 in Germany. For diesel, the increase has been even steeper, ranging from €8.40 in Italy to €21.50 in Germany. Relative to the 2025 annual average, German households have been hit particularly hard: they are now paying roughly €17.00 more per tank of unleaded petrol and around €28.00 more for diesel than they did on average last year. Dutch households are facing a similarly sharp increase in fuel costs.

Cost of filling a 50-litre tank with unleaded petrol or diesel

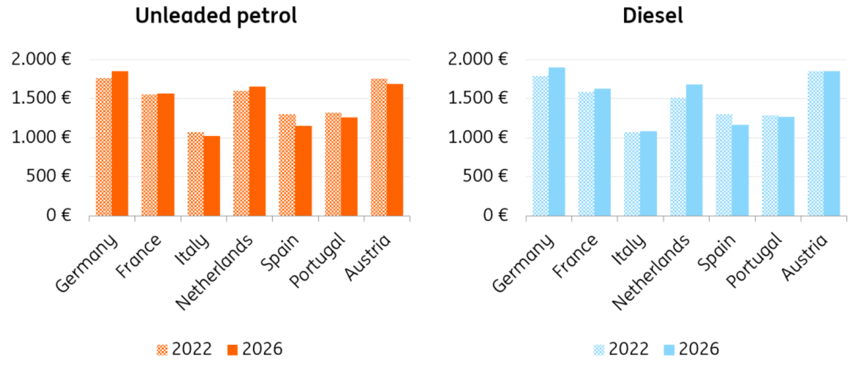


Source: European Commission; ING Economic & Financial Analysis

The fact that prices within the eurozone, and across fuel types, vary widely in general is also due to excise duties, for which there is a minimum threshold of €0.359 per litre of unleaded petrol and of €0.330 per litre of diesel set by the EU. However, most member states have set higher values, resulting in an average excise duty on petrol of €0.570 per litre and of €0.468 per litre on diesel. At €0.845 per litre, the duty on unleaded petrol is highest in the Netherlands, while at €0.673, Italy has the highest duty on diesel. These tax differentials are the main reason why two households facing the same global oil price can still experience very different fill up costs.

The extent to which these price increases cut into household budgets also depends heavily on how much people drive per year. At almost 14,000 kilometres, Austria tops the 2023 list – the most recent date for which comparable data is available, followed by Germany with around 12,500 kilometres per year. This means the same price increase hits Austrian and German households much harder than, for example, Italians, who drive only around 8,000 km per year.

Average annual fuel expenses



European Commission; Odysee Mure; ING Economic & Financial Analysis; based on an average fuel consumption of 7.35 liters per 100 kilometers; 2026 is based on the assumption that the price from the 10th calendar week will apply for the rest of the year.

Looking at driving behaviour in recent years shows that cutting fuel costs by simply driving less is unlikely. Significant deviations from the long term average only occurred during the pandemic years, when widespread working from home arrangements reduced the need to commute. Gasoline prices were not a motive. Since then, mileage patterns have started to normalise, suggesting limited scope for households to offset higher prices by changing their driving habits.

Ultimately, this implies that eurozone households will once again need to devote a larger share of their disposable income to fuel, with German households facing the largest increase. For them, the share of disposable income spent at the fuel pump is expected to rise to 3.5%, up from 2.8% last year. Overall, the share of disposable income devoted to fuel ranged from around 2% in the Netherlands and 4.5% in Portugal last year.

Drivers might slam the brake on any recovery in private consumption

Although we currently assume in our base case scenario that the impact of the war in the Middle East on markets, and thus on the eurozone economy, should not be long-lasting, the recent rise in energy prices is likely to put additional strain on consumer confidence, which is already markedly low. Given the old adage that gasoline prices rise like a rocket but fall like a feather, it is not just confidence that is being hit, but actual purchasing power.

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ECB preview: Time for a panic room in the ECB's 'good place'

The war in the Middle East and the surge in oil prices revive memories of the ECB's more traumatic experience in recent times: the 2022 oil price shock. While we expect the ECB to remain on hold next week, a more hawkish tone should show that these 2022 memories are still very much alive

ECB President Christine Lagarde in Italy last week

We don't know if ECB President Christine Lagarde has a favourite actor, but if the run up to next week's meeting was turned into a Hollywood film, Jodie Foster would be our pick – not as Clarice Starling in *The Silence of the Lambs*, but as the mother hiding from burglars in a panic room. For the ECB, the war in the Middle East and rising energy prices are the intruders threatening Lagarde's 'good place'. The key question for next week is what Lagarde and the rest of the Governing Council decide to do from inside their own panic room.


Jodie Foster in Panic Room: a mirror for an ECB bracing against geopolitical and energy price intruders

War in the Middle East takes any rate cut discussion off the table

By the time the ECB meets on 19 March, the macro backdrop will have shifted markedly since the last meeting. With the conflict in the Middle East, the risk of inflation undershooting – and any discussion of further rate cuts – should be firmly off the table. Gone is a scenario in which a stronger euro could push down the ECB's own inflation forecasts for longer, leading to a more controversial debate on inflation undershooting and what it would mean for the ECB's credibility.

Oil prices were already rising, and the outbreak of war in the Middle East likely coincided with the cut off date for the ECB's latest forecasting round. But recent market moves will have rendered those projections outdated almost immediately. Like everyone else, the ECB can only work with a range of oil price scenarios. At this point, anything is possible – from a short-lived episode of higher oil prices and some supply chain frictions, to a full-blown energy crisis. The big question for the ECB is, therefore, no longer how to react to an inflation undershooting but rather how to react to another oil price shock.

Tackling oil price shocks has been an important challenge for global central banks since the 1970s. In the case of the ECB, the thinking about how to react to oil price shocks has clearly evolved over the last 25 years.

Phase 1 (1999–2004): "Don't repeat the 1970s". When the ECB was launched, oil prices had just hit a two-decade low but were beginning to rise. Back then, oil shocks were treated as exogenous, supply-side events. What mattered was the domestic response, particularly on wages and inflation expectations, and not so much the source of the shock. For the ECB, reacting to oil price shocks meant preventing second-round effects.

Phase 2 (2004–2008): "It's the source that matters". By the mid-2000s, the ECB's approach became more sophisticated, distinguishing between direct effects on consumer prices and disposable income, indirect effects through the pass-through of higher input costs, and the critical importance of avoiding second-round effects through "appropriate wage reactions." This tripartite distinction became the standard ECB analytical vocabulary for oil price shocks. The ECB also started paying attention to the source of oil price movements. Demand-driven oil price shocks in the eyes of the ECB asked for a much more hawkish reaction than supply-driven shocks. However, even this distinction did not prevent the ECB from making mistakes. In 2008, the ECB under President Jean-Claude Trichet hiked rates, attempting to avoid second-round effects, when the financial crisis was in full swing. A move that had to be corrected only a few months later.

Phase 3 (2010–2020): "Look through becomes consensus". In the 2010s, the ECB's view on how to react to oil price shocks took a turn. Based on academic work but also the deflationary or disinflationary episodes, not only the ECB but many major central banks started to look through oil price shocks, focusing on core inflation and inflation expectations. The reasoning was straightforward: oil price shocks had historically been short-lived, and tightening policy in response would likely push down on demand and inflation precisely as the shock was already reversing – amplifying rather than correcting the disruption. This "look through" doctrine was reinforced by the structural observation that the pass-through of oil price shocks to wages and core inflation had declined significantly since the 1970s and 1980s.

Phase 4 (2021–present): "The failed look through". The 2021-22 episode exposed the limits of the "look through" framework and generated a significant ECB rethink, both on substance and communication. In early 2021, the ECB applied the standard "look through" logic to the initial post-pandemic energy price surge. Inflation was described as "transitory", a word that became the label of a wrong assessment. Little did they know. Since then, the question is no longer just "is this an oil shock?" but: "what is the starting level of inflation? Are expectations already at risk? Is the shock compounding other inflationary pressures? How persistent is it likely to be?" ECB Executive Board member Isabel Schnabel signalled this new conditionality explicitly: "Monetary policy, for its part, cannot afford to look through energy price increases if they pose a risk to medium-term price stability." The look-through is conditional, no more automatic.

What do the lessons of the past mean for the current situation?

What do the lessons of the past now mean for the ECB's current reaction? We shouldn't forget that the 2022 misjudgement has been imprinted in the ECB's institutional memory since then. Whether or not it is the right approach, the 2022 experience will shape the current thinking.

Admittedly, this is not yet a 2022 environment as it is mainly a price shock and not a supply shock; Europe doesn't have to 'derisk' from a single energy provider. The labour market also isn't as strong as it was in 2022, with structural transitions and additional wage increases rather unlikely, the economy not going through a post-lockdown boom and governments more hesitant to provide new fiscal stimulus.

At the current juncture, the risk of a wage-price spiral looks small. Still, in a 'forever war' scenario of a longer-lasting disruption of the Strait of Hormuz, oil prices above $100/b for several months and knock-on effects on transportation, food prices, and more generally supply chains, are likely to force the ECB's hand and consider rate hikes. In such a scenario, one or two symbolic rate hikes could be enough to preempt any second-round effects and could strengthen the ECB's inflation-fighting credibility.

No rate change next week but a more hawkish tone

For next week's meeting, we don't expect any rate moves. The latest round of staff projections will be less relevant than normal, being just one of many input variables for the meeting. Who cares about some percentage point model-based revisions of inflation or growth forecasts if the oil price can move $30/b in a few minutes?

The ECB will, however, try to use its second most powerful policy instrument, words, to keep inflation expectations at bay. Sounding a bit more hawkish by, for example, stating that the ECB stands ready to act, is monitoring the situation very closely and would not refrain from any preemptive rate hikes, looks like the most likely outcome. In this context, we don't expect Lagarde to repeat the phrase 'good place'. There is still no reason for the ECB to panic – but installing a panic room within that 'good place' might not seem like such a bad idea for now.

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7 reasons why Europe can deal with a gas shock better than in 2022

Events in the Persian Gulf and the resulting LNG supply disruptions will give many in Europe flashbacks to 2022. However, we believe Europe is better placed now to weather this supply shock

Quatar Energy recently stopped producing LNG after drone attacks

Persian Gulf energy supply shock sparks flashbacks to 2022

Europe had just about shaken off memories of the 2022 energy crisis. Global energy markets were set to be well supplied through 2026, suggesting weaker energy prices this year. But this view has been upended by developments in the Middle East. While the supply impact from the disruption in Persian Gulf energy flows is significant, particularly if we are to see prolonged supply issues, we do not think this is a repeat of 2022 for Europe - the impact is expected to be lower.

We do not believe European gas prices will trade to the peaks seen in 2022; global gas markets are relatively better supplied, while a large pipeline of LNG export capacity is coming onto the market in the years ahead. That said, clearly, how high prices go will ultimately depend on how long supply disruptions in the Middle East persist. Expectations that gas prices will not reach the elevated levels of 2022 also suggest that electricity prices will be more contained.

In addition, Europe is relatively less exposed to the gas market, with the region having reduced its reliance. EU gas demand is 16% below pre-Russia-Ukraine war levels. Furthermore, the EU would have learnt invaluable lessons from the 2022 energy crisis, which leaves it better prepared to navigate any future supply shocks.

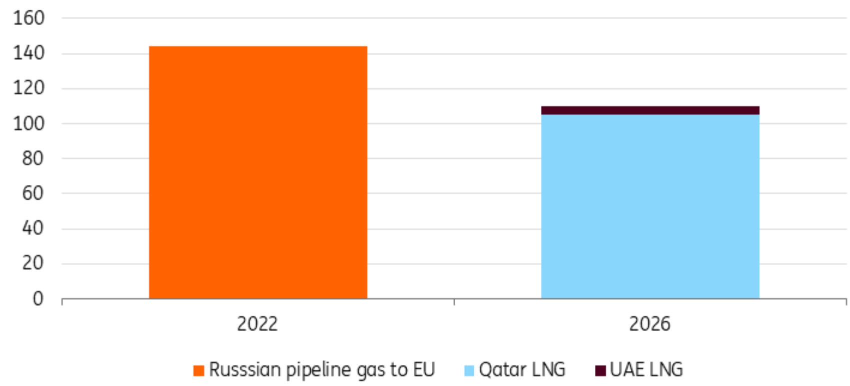
Here are seven reasons why we believe things are different this time for Europe.

1 The current energy shock should be temporary, 2022 was more structural for Europe

The amount of LNG disrupted by developments in the Persian Gulf is significant. Between Qatar and the UAE, roughly 110bcm of annual supply is currently affected, which is 20% of global LNG trade. The volumes are significant but still less than the 144bcm of Russian pipeline gas, which was at risk heading into 2022.

However, the key difference is that current supply disruptions are temporary. Yes, there is plenty of uncertainty about the duration of the disruption, but ultimately, supply will return. This is different from 2022, when the market was of the view that we were set to see a more structural shift in gas supply to Europe. Essentially, the market had the view that a loss in Russian gas supply would be final, with a very low probability that flows would ever resume.

2022 vs. 2026 gas supply disruptions-annual supply (bcm)



Source: Bruegel, ING Research

Note: Russian pipeline flows to the EU are 2021 volumes

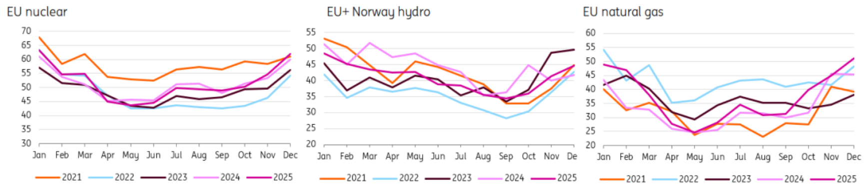
2 Europe faced a perfect storm in 2022

In 2022, it seemed that almost everything that could go wrong for Europe did. Not only was the region dealing with reduced gas flows from Russia, there was also uncertainty over further losses. But other sources of electricity generation also struggled.

The largest nuclear power producer in the EU, France, saw significant maintenance work carried out through much of the year due to corrosion issues, resulting in annual nuclear output falling to its lowest level since 1988 and 30% below the annual average over the last 20 years. Similarly, Europe was also having to deal with lower-than-usual hydro power output.

Lower nuclear and hydro meant the power sector had to lean more heavily on fossil fuels, including natural gas, for generation needs, at a time of significant supply uncertainty.

European power generation by selected source (TWh)



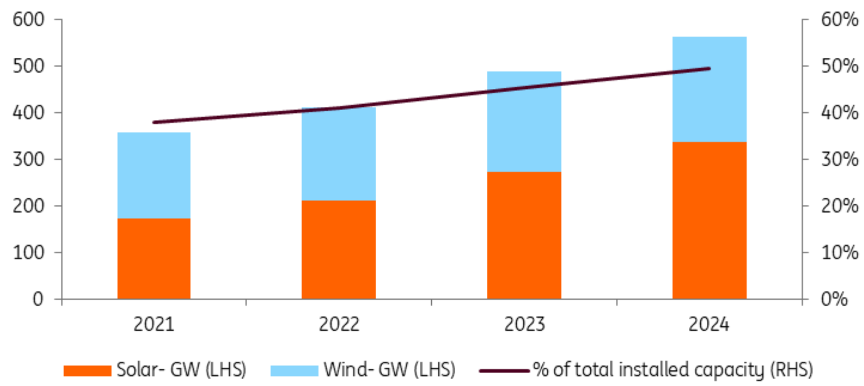
Source: Eurostat, ING Research

3 Installed renewables capacity in the EU has grown significantly

Renewables' capacity in the EU has also grown strongly since the end of 2021. Bloomberg New Energy Finance numbers show that installed capacity for solar and wind has surged by 57% between 2021 and 2024. Estimates suggest that capacity increased by a further 15% in 2025. This would have been supported by REPowerEU, the European Commission's plan to support energy transition and reduce the EU's dependence on Russian fossil fuels.

However, under the marginal pricing system in electricity markets, the highest-cost source of power sets the price, which is usually natural gas. This means stronger gas prices can still cause electricity prices to surge, even if gas power generation makes up a smaller part of the electricity mix. The European Commission is considering reviewing the system, though several member countries are pushing back against changing the current mechanism.

Installed renewables capacity has grown in the EU



Source: BNEF, ING Research

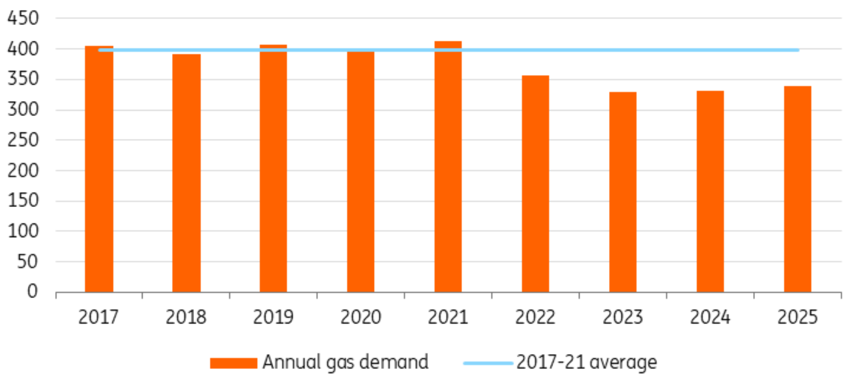
4 Europe has reduced its reliance on natural gas since 2022

From a demand perspective, the EU is also less reliant on natural gas supplies than it was prior to Russia's invasion of Ukraine. We have seen permanent demand destruction when it comes to natural gas following the energy crisis of 2022, and while gas demand has slowly edged higher since 2023, it is still 16% below 2017-21 levels.

The permanent loss in demand from the EU would be partly due to the ambitions of REPowerEU, but also to the lack of competitiveness of energy-intensive industries in Europe because of high energy prices. For example, the chemicals sector has seen production capacity fall by 9% since

2022.

EU natural gas demand well below pre-Russia-Ukraine levels (bcm)



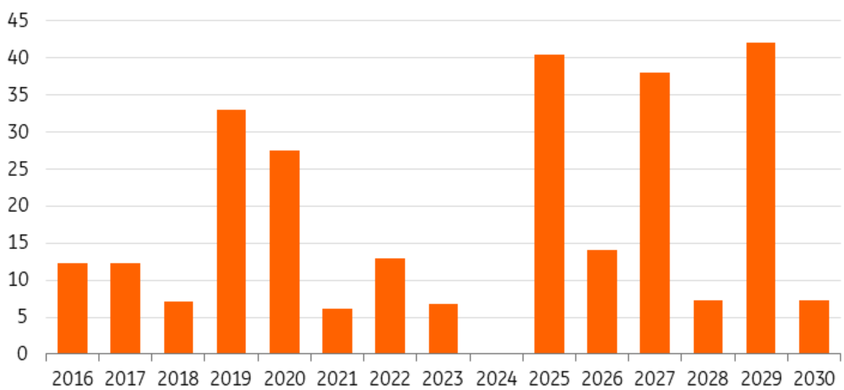
Source: Eurostat, ING Research

5 The pipeline of LNG export capacity is significant, a big change from 2022

The shift we saw from Europe in 2022 away from Russian pipeline gas towards LNG tightened up the global market significantly, leaving very little slack in the system and increasing competition for spot LNG supply. In addition, the pipeline of new LNG export capacity from the US was very thin around that time. Between 2021 and 2023, only around 25bcm of new capacity came online.

Currently, the loss of Persian Gulf LNG supply leaves the market tight. However, we do have a lot more LNG supply ramping up. Once again, this is driven by the US, where between 2025 and 2027, we have 93bcm of capacity additions. There is also around 42 bcm of capacity set to start up from Qatar by 2027. Although developments in the Persian Gulf mean that some of this capacity, which was set to start up in late 2026, will likely be pushed into 2027.

Significant US LNG export capacity additions in the years ahead (bcm)



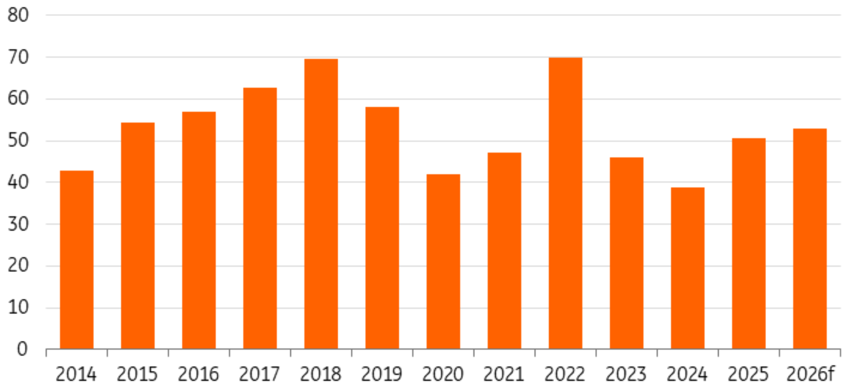
Source: EIA, ING Research

6 Europe has learnt a significant amount from the 2022 energy crisis (we hope)

One of the key drivers behind the surge in European natural gas prices in 2022 was the rush by European buyers to secure supplies, essentially buying gas at any cost. This led to the EU seeing significant net injections through 2022, in the region of 70bcm, compared to a 2017-21 average of around 55bcm. This was to ensure that the EU hit its 90% storage target by 1 November.

The EU has learnt important lessons from the 2022 energy crisis, and we are unlikely to see European buyers chasing the market higher to the degree we saw to ensure supply. Already in 2025, the EU made storage targets more flexible. While the 90% storage target remains, it can be achieved between 1 October and 1 December, and in unfavourable conditions, it could be as low as 75%.

EU net injections in 2022 hit record levels, unlikely to see a repeat in 2026 (bcm)



Source: GIE, ING Research

7 Joint gas purchasing should reduce internal competition

One of the issues in 2022 was not only that Europe was having to compete with other regions for LNG supplies, but European buyers were competing with each other for supply, which only added further upside to European gas prices.

As a result, the EU launched AggregateEU in April 2023, which essentially led to a more coordinated approach to gas buying; EU gas demand was pooled and then matched with supply offers. According to the EU, between April 2023 and March 2025, close to 100bcm of gas demand was matched with supply through the platform. However, this does not mean that European buyers bought this amount of gas, given that bilateral negotiations would have taken place outside the platform after matching.

The European Commission sees it as a useful tool in pooling demand, reducing price volatility, increasing bargaining power and reducing internal competition for supplies, given that the mechanism is now permanent, and since July 2025, it has operated under the EU Energy and Raw Materials Platform.

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Disclaimer

Oil shock for Asia: identifying the key pressure points

Higher oil prices will hit Asia unevenly, with Thailand, the Philippines and Korea likely to feel the strain first, due to weak buffers, fast pass through and heavy import dependence, respectively. India and China are better cushioned by their ability to swap oil for coal, while Singapore and Taiwan benefit from strong fiscal and external positions

Refuelling in India, a country less exposed to oil shocks because coal still provides more than half of its energy

Where the pressures points are likely to emerge

A key question for policymakers right now is how quickly rising oil prices will begin to strain Asian economies. Under a scenario where supply disruptions last for a month and then gradually ease throughout the year, we expect Brent crude oil to average US$83/bbl, about $15/bbl higher than the 2025 baseline.

Our previous work on import exposures shows that Thailand and Korea carry the largest oil and gas trade deficits in Asia and are therefore most exposed to supply shocks and price spikes. Taiwan, the Philippines, Singapore and India follow closely, facing meaningful but more varied vulnerabilities depending on domestic buffers and pricing policies.

Below, we discuss how the impact might differ across the region, shaped by each country's energy mix, import dependencies, domestic fuel buffers and fiscal capacity to absorb subsidy costs.

Asia's fragile energy buffers

Asia's energy resilience is uneven; while Japan and Korea can absorb shocks for longer, thinner LPG buffers and heavy LNG dependence leave several economies exposed. Those with limited reserves, particularly Indonesia, could face the sharpest pressure if supply risks continue to escalate.

Energy reserve adequacy varies sharply across Asia. Japan holds the deepest cushion, with reserves covering 254 days of domestic demand, followed by South Korea at 210 days. India maintains about 74 days, while the Philippines keeps close to two months' worth of supply across refined products.

While oil inventories appear broadly sufficient in the near term, LPG buffers remain notably thin, increasing vulnerability to price spikes and supply disruptions. With LNG prices up nearly 70% since the flare up, economies heavily reliant on imported gas – Thailand, Korea, and Japan – face outsized exposure to further volatility.

At the other end of the spectrum, Indonesia's reserves cover only about 25 days, placing it among the most at risk economies should disruptions persist into the second quarter.

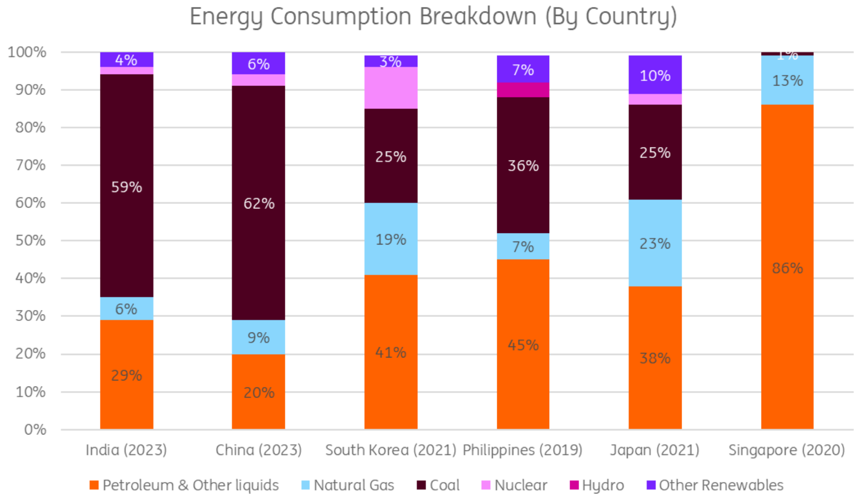
A substitution cushion: coal dependence helps India and China

A key differentiator across the region is the scope of fuel substitution. India and China benefit from a built in shock absorber because more than half of their energy supply still comes from coal. Although both remain net coal importers, their ability to substitute oil with coal at the margin provides an important cost advantage. The contrast in recent market moves is stark: coal prices have risen only about 12% since the conflict began, compared with an approximate 70% surge in natural gas. This divergence gives India and China a meaningful substitution buffer that could reduce their exposure to oil and gas price spikes to some extent.

By contrast, Korea has limited room to substitute. Its high dependency on both oil and gas leaves it exposed, even though the government has temporarily capped domestic petroleum prices. A weakening Korean won further amplifies imported inflation, prompting us to raise our 2026 CPI forecast by 0.2ppt to 2.2%, with upside risks if Brent remains above $80/bbl.

If the government continues to cap retail prices without offering subsidies, refiners will have to absorb the widening cost gap, which may not be a feasible solution for the medium term.

More than half of energy for India and China comes from coal



Source: Energy Institute

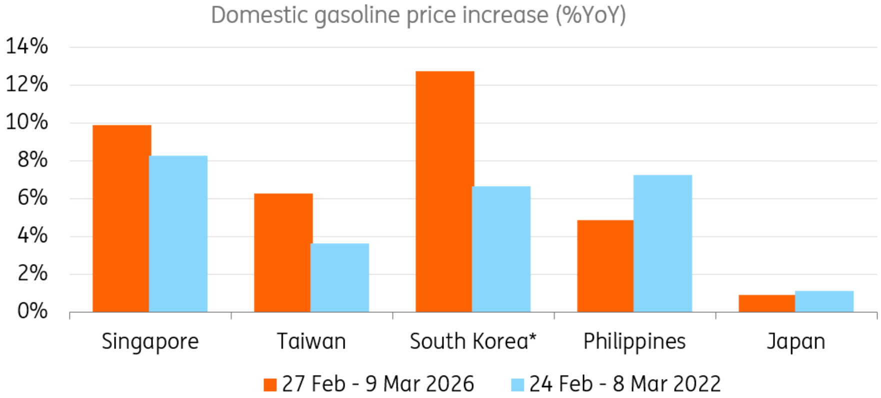
Tolerance levels: Singapore and Taiwan have the deepest fiscal cushion

Asian governments are responding very differently to higher crude prices, reflecting differences in subsidy systems, fiscal buffers and political willingness to pass costs through. Several economies – including Indonesia, Japan and India – are prioritising price stability and have held retail fuel prices unchanged despite rising global benchmarks, relying on state owned oil companies or fiscal support to cushion consumers. By contrast, Singapore and the Philippines have already raised pump prices by 10-13% since 2 March, signalling a deliberate policy choice to allow earlier pass through.

If disruptions escalate, Singapore and Taiwan appear best positioned to sustain higher oil prices, supported by relatively strong fiscal positions, healthier current account dynamics and greater capacity for targeted support. India also has meaningful tolerance, with state owned oil companies able to absorb losses until crude exceeds $130/bbl. This has kept petrol and diesel prices stable so far, although the government has adjusted LPG prices upwards.

Indonesia, however, faces a far tighter constraint. Officials have indicated a “worst case scenario” of crude averaging $92/bbl, well above the $70/bbl assumption in the 2026 budget – highlighting limited room to manage sustained shocks without broader fiscal strain. The Philippines has even less of a buffer: domestic gasoline prices rose 5% last week with another 12% increase announced, underscoring its rapid pass through, narrow subsidy capacity and higher sensitivity to global price swings.

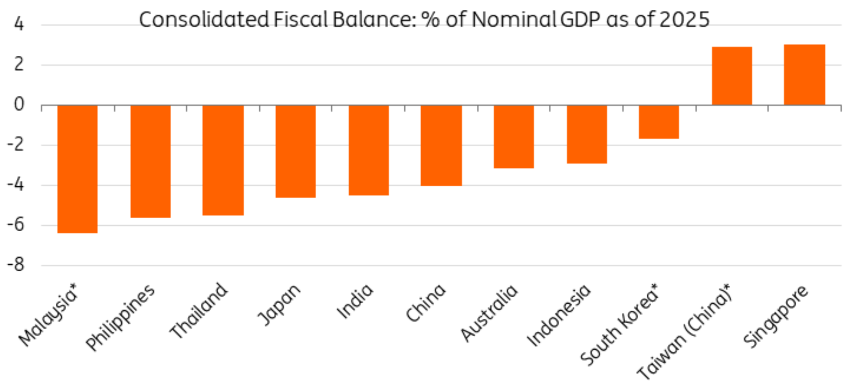
Some countries have already seen steep domestic fuel price hikes



Source: CEIC

*South Korea has announced a price cap that would be in place within this week.

Singapore and Taiwan have strong fiscal buffers



Source: CEIC, ING Research

*Data for 2024

The Philippines: fastest pass-through, higher near-term risk

The Philippines is likely to feel higher oil prices sooner than most Asian counterparts, such as Thailand or Indonesia, given its modest fuel buffers, rapid domestic price pass through and a structurally wider current account deficit. As one of the region's most oil dependent economies, alongside Thailand, Korea, Vietnam and Singapore, a sustained rise in crude has meaningful external implications. The strain is already visible, with several local governments shifting to four day work weeks in response to the recent surge in fuel costs.

Inflation dynamics will depend on how quickly higher energy costs spill over into transport, electricity and food. The 2022 episode – when inflation jumped from 4% to 8.5% as oil averaged around $100/bbl – showed how sensitive the economy is to simultaneous increases in fuel and food prices, especially when the currency depreciates. Conditions today are somewhat more stable, with rice supply from Vietnam intact and agricultural availability generally adequate. However, forward risks remain. Fertiliser prices could rise if Middle East supply tightens, eventually pressuring yields and food prices later in the year, a meaningful vulnerability given the Philippines' exposure to imported food and fuel.

Overall, we are increasing our current account deficit forecast for the Philippines to 4% of GDP in 2026. A $15/bbl increase in Brent crude could widen the Philippines' current account deficit by around 0.7% of GDP, assuming stable demand. This would increase the risk of renewed peso weakness if elevated oil prices persist. In our scenario of sustained oil disruptions for a month, CPI inflation for the Philippines is expected to inch closer to the upper end of 4% of the BSP's target range.

Market impact

While Singapore, Korea, and Taiwan benefit from sizeable current account surpluses that help absorb higher import costs, Thailand's surplus is far more modest, leaving it with less of a buffer. Meanwhile, India and the Philippines stand out as the only major economies running structural current account deficits, though India has kept its gap contained at roughly 1% of GDP in recent years.

Foreign exchange reserve adequacy adds another layer to the risk profile. Malaysia, Indonesia, and South Korea hold comparatively lower FX cover relative to their import needs, making them more exposed to a prolonged rise in crude prices. In contrast, the Philippines and India maintain stronger FX buffers, giving their central banks greater capacity to manage currency pressures if oil related outflows intensify.

Philippines: Given the upward revision to our CPI forecasts, we no longer expect the BSP to cut rates this year. Persistently higher oil prices also pose a risk of further delaying the recovery in GDP growth, which is already starting from a muted base. We maintain our 2026 GDP forecast at 5.2%, with a meaningful upturn expected only in the second half of the year. We anticipate weak growth pressures to persist in the first half of 2026, at least, as ongoing investigations and unresolved political and oil price uncertainty continue to weigh on both business confidence and broader economic sentiment.

India: Oil price risks remain manageable for now, as oil marketing companies are absorbing the increase in crude costs without passing them through to retail prices. As a result, we are keeping our CPI inflation forecast unchanged and continue to expect inflation to average below the RBI's medium term target of 4% in 2026. However, the INR remains vulnerable, as higher crude prices are likely to widen the current account deficit and exert additional pressure on the currency.

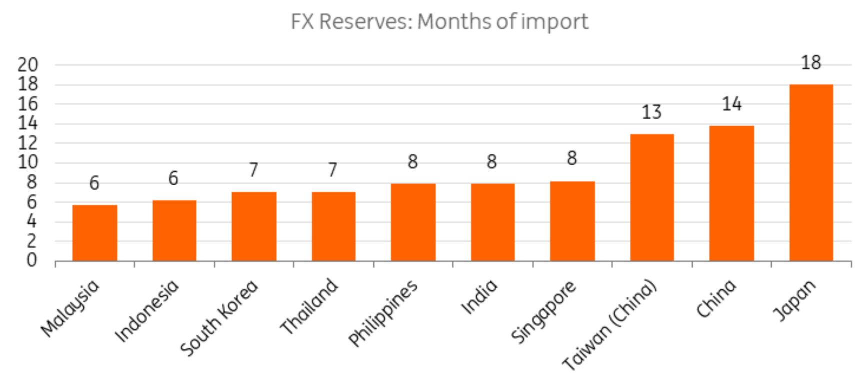
Indonesia: As a net exporter of oil and gas, Indonesia typically benefits from higher global oil prices; however, already strained fiscal balances risk further deterioration as the government increases subsidies on retail fuel. The widening fiscal deficit has already weighed on the IDR, and further deterioration could amplify this pressure.

At the same time, Indonesia's real rate differential versus the US has narrowed sharply – by more than two percentage points between November 2025 and February 2026 – adding to currency headwinds. Compounding this, sizeable foreign investor outflows from government debt since September 2025 and weakening appetite for Indonesian equities in 2026 have further weighed on the IDR, and with investor caution likely to keep FII inflows subdued, we expect additional depreciation pressure ahead.

With relatively lesser pass-through of higher oil prices to retail prices for petroleum products, we are keeping our CPI inflation forecast unchanged at 2.6%. Given the soft domestic growth outlook, we believe BI's easing cycle is not yet complete. Once the currency stabilises, further rate reduction remains likely to support growth. We currently expect two additional 25bp cuts in the first half of 2026, though the risks are skewed toward a delay.

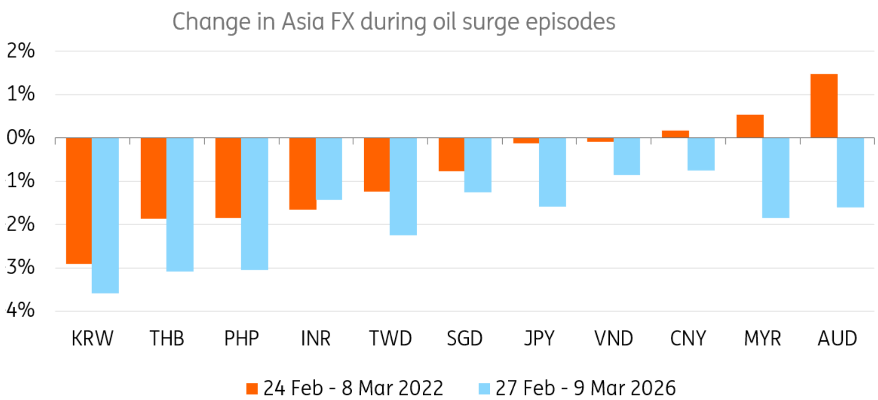
Singapore: Given the expected pass through from higher crude oil prices to domestic pump prices, we are raising our 2026 Singapore headline CPI inflation forecast from 1.8% to 2.0%. Singapore has emerged as a standout performer in Asia, with GDP growth in 2025 significantly surpassing expectations; 4Q25 growth accelerated to 6.9% YoY, driven by a sharp rebound in manufacturing, particularly pharmaceuticals and electronics. The city state has been a clear beneficiary of AI related demand and has maintained competitiveness through its relatively low tariff exposure, supporting robust export performance, a trend we expect to persist. Against this backdrop of strong growth and firming inflation, we continue to anticipate that the Monetary Authority of Singapore will tighten its FX policy stance in April. Singapore's strong fiscal position and substantial current account surplus should also help limit depreciation pressures on the currency.

Malaysia, Indonesia, and South Korea hold comparatively lower FX cover to smoothen FX vols



Source: CEIC, ING Research

FX moves this time have been relatively large vs. 2022



Source: Bloomberg

In conclusion, higher oil prices will strain Asia unevenly, with Thailand, the Philippines and

Korea facing the earliest pressure due to weak buffers, fast pass through and sizeable import dependence, respectively. India and China are better cushioned by coal substitution, while Singapore and Taiwan benefit from strong fiscal and external positions.

Market risks are most acute where reserves are thin and current account deficits widen – particularly the Philippines and Indonesia.

Asia FX forecasts

Currency pair	Spot as on 11 March Current	ING forecasts 1M	12M
USD/CNY	6.86	↑ 6.86	↓ 6.75
USD/KRW	1,474	↑ 1,475	↓ 1,400
USD/INR	92	↑ 92.5	↓ 90
USD/IDR	1,6870	↑ 16,900	↓ 16,800
USD/PHP	59.1	↑ 5,9.85	↓ 59
USD/SGD	1.27	↑ 1.28	↓ 1.27
USD/TWD	31.7	↑ 31.9	↓ 31

Source: ING research

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